tion with cooperation, coordination, or consultation with—

(A) any association referred to in paragraph (1) or (3) or any conference or meeting referred to in paragraph (4), while such association, conference, or meeting is carrying out activities in furtherance of the provisions of this subsection; or

(B) any forum, agency, or organization, or group referred to in section 80c–1 of this title, while such forum, agency, organization, or group is carrying out activities in furtherance of the provisions of such section 80c–1.

As used in this paragraph, the terms ''association'', ''conference'', ''meeting'', ''forum'', ''agency'', ''organization'', and ''group'' include any committee, subgroup, or representative of such entities.

(May 27, 1933, ch. 38, title I, § 19, 48 Stat. 85; June 6, 1934, ch. 404, title II, § 209, 48 Stat. 908; Feb. 5, 1976, Pub. L. 94–210, title III, § 308(a)(2), 90 Stat. 57; Oct. 21, 1980, Pub. L. 96–477, title V, § 505, 94 Stat. 2292; Dec. 4, 1987, Pub. L. 100–181, title II, § 207, 101 Stat. 1252.)

AMENDMENTS

1987—Subsec. (c)(6). Pub. L. 100–181 added par. (6).

1980—Subsec. (c). Pub. L. 96–477 added subsec. (c).

1976—Subsec. (a). Pub. L. 94–210 struck out provisions relating to rules and regulations applicable to any common carrier subject to the provisions of section 20 of title 49.

1934—Subsec. (a). Act June 6, 1934, inserted ''technical'' in first sentence and inserted last sentence.

EFFECTIVE DATE OF 1980 AMENDMENT

Amendment by Pub. L. 96–477 effective Jan. 1, 1981, see section 507 of Pub. L. 96–477, set out as an Effective Date note under section 80c of this title.

EFFECTIVE DATE OF 1976 AMENDMENT

Amendment by Pub. L. 94–210 effective on 60th day after Feb. 5, 1976, but not applicable to any bona fide offering of a security made by the issuer, or by or through an underwriter, before such 60th day, see section 308(d)(1) of Pub. L. 94–210, set out as a note under section 77c of this title.

TRANSFER OF FUNCTIONS

For transfer of functions of Securities and Exchange Commission, with certain exceptions, to Chairman of such Commission, see Reorg. Plan No. 10 of 1950, §§1, 2, eff. May 24, 1950, 15 F.R. 3175, 64 Stat. 1265, set out under section 78d of this title.

CROSS REFERENCES

Administration of oaths, etc., under—
- Investment Advisers Act of 1940, see section 80b–9 of this title.
- Investment Company Act of 1940, see section 80a–41 of this title.
- Public Utility Holding Company Act of 1935, see section 79r of this title.
- Securities Exchange Act of 1934, see section 78u of this title.
- Trust Indenture Act of 1939, see section 77uuu of this title.

Attendance of witnesses, and production of documents, judicial enforcement of orders for, see section 77v of this title.

Authority of Commission comparable to subsec. (a) of this section under—
- Investment Advisers Act of 1940, see section 80b–11 of this title.
- Investment Company Act of 1940, see sections 80a–29 and 80a–37 of this title.
- Public Utility Holding Company Act of 1935, see section 79t of this title.
- Securities Exchange Act of 1934, see section 78c and 78m of this title.
- Trust Indenture Act of 1939, see section 77sss of this title.

Rules and regulations—
- Action to enjoin acts or practices constituting violation of, see section 77t of this title.
- Availability of information contained in or filed with any registration statement, see section 77f of this title.
- Classes of securities exempt from this subchapter by reason of small amount involved or limited character of public offering, see section 77c of this title.
- Information required in prospectus, see section 77j of this title.
- Information required in registration statement, see section 77g of this title.
- Integration of procedure with other Acts, see section 77hhh of this title.
- Investigation to determine violation of, see section 77t of this title.
- Jurisdiction of offenses and violations under, see section 77v of this title.
- Penalty for violation of, see section 77x of this title.

SECTION REFERRED TO IN OTHER SECTIONS

This section is referred to in section 78u of this title.

§ 77t. Injunctions and prosecution of offenses

(a) Investigation of violations

Whenever it shall appear to the Commission, either upon complaint or otherwise, that the provisions of this subchapter, or of any rule or regulation prescribed under authority thereof, have been or are about to be violated, it may, in its discretion, either require or permit such person to file with it a statement in writing, under oath, or otherwise, as to all the facts and circumstances concerning the subject matter which it believes to be in the public interest to investigate, and may investigate such facts.

(b) Action for injunction or criminal prosecution in district court

Whenever it shall appear to the Commission that any person is engaged or about to engage in any acts or practices which constitute or will constitute a violation of the provisions of this subchapter, or of any rule or regulation prescribed under authority thereof, the Commission may, in its discretion, bring an action in any district court of the United States, or United States court of any Territory, to enjoin such acts or practices, and upon a proper showing, a permanent or temporary injunction or restraining order shall be granted without bond. The Commission may transmit such evidence as may be available concerning such acts or practices to the Attorney General who may, in his discretion, institute the necessary criminal proceedings under this subchapter. Any such criminal proceeding may be brought either in the district wherein the transmittal of the prospectus or security complained of begins, or in the district wherein such prospectus or security is received.

(c) Writ of mandamus

Upon application of the Commission, the district courts of the United States and the United States courts of any Territory shall have juris-

diction to issue writs of mandamus commanding any person to comply with the provisions of this subchapter or any order of the Commission made in pursuance thereof.

(d) Money penalties in civil actions

(1) Authority of Commission

Whenever it shall appear to the Commission that any person has violated any provision of this subchapter, the rules or regulations thereunder, or a cease-and-desist order entered by the Commission pursuant to section 77h–1 of this title, other than by committing a violation subject to a penalty pursuant to section 78u–1 of this title, the Commission may bring an action in a United States district court to seek, and the court shall have jurisdiction to impose, upon a proper showing, a civil penalty to be paid by the person who committed such violation.

(2) Amount of penalty

(A) First tier

The amount of the penalty shall be determined by the court in light of the facts and circumstances. For each violation, the amount of the penalty shall not exceed the greater of (i) $5,000 for a natural person or $50,000 for any other person, or (ii) the gross amount of pecuniary gain to such defendant as a result of the violation.

(B) Second tier

Notwithstanding subparagraph (A), the amount of penalty for each such violation shall not exceed the greater of (i) $50,000 for a natural person or $250,000 for any other person, or (ii) the gross amount of pecuniary gain to such defendant as a result of the violation, if the violation described in paragraph (1) involved fraud, deceit, manipulation, or deliberate or reckless disregard of a regulatory requirement.

(C) Third tier

Notwithstanding subparagraphs (A) and (B), the amount of penalty for each such violation shall not exceed the greater of (i) $100,000 for a natural person or $500,000 for any other person, or (ii) the gross amount of pecuniary gain to such defendant as a result of the violation, if—

(I) the violation described in paragraph (1) involved fraud, deceit, manipulation, or deliberate or reckless disregard of a regulatory requirement; and

(II) such violation directly or indirectly resulted in substantial losses or created a significant risk of substantial losses to other persons.

(3) Procedures for collection

(A) Payment of penalty to Treasury

A penalty imposed under this section shall be payable into the Treasury of the United States.

(B) Collection of penalties

If a person upon whom such a penalty is imposed shall fail to pay such penalty within the time prescribed in the court's order, the Commission may refer the matter to the Attorney General who shall recover such penalty by action in the appropriate United States district court.

(C) Remedy not exclusive

The actions authorized by this subsection may be brought in addition to any other action that the Commission or the Attorney General is entitled to bring.

(D) Jurisdiction and venue

For purposes of section 77v of this title, actions under this section shall be actions to enforce a liability or a duty created by this subchapter.

(4) Special provisions relating to a violation of a cease-and-desist order

In an action to enforce a cease-and-desist order entered by the Commission pursuant to section 77h–1 of this title, each separate violation of such order shall be a separate offense, except that in the case of a violation through a continuing failure to comply with such an order, each day of the failure to comply with the order shall be deemed a separate offense.

(e) Authority of court to prohibit persons from serving as officers and directors

In any proceeding under subsection (b) of this section, the court may prohibit, conditionally or unconditionally, and permanently or for such period of time as it shall determine, any person who violated section 77q(a)(1) of this title from acting as an officer or director of any issuer that has a class of securities registered pursuant to section 78*l* of this title or that is required to file reports pursuant to section 78*o*(d) of this title if the person's conduct demonstrates substantial unfitness to serve as an officer or director of any such issuer.

(May 27, 1933, ch. 38, title I, §20, 48 Stat. 86; Dec. 4, 1987, Pub. L. 100–181, title II, §208, 101 Stat. 1253; Oct. 15, 1990, Pub. L. 101–429, title I, §101, 104 Stat. 932.)

AMENDMENTS

1990—Subsecs. (d), (e). Pub. L. 101–429 added subsecs. (d) and (e).

1987—Subsec. (b). Pub. L. 100–181, §208(a), inserted first sentence and struck out former first sentence containing similar provisions.

Subsec. (c). Pub. L. 100–181, §208(b), amended subsec. (c) generally.

EFFECTIVE DATE OF 1990 AMENDMENT

Amendment by Pub. L. 101–429 effective Oct. 15, 1990, with provisions relating to civil penalties and accounting and disgorgement, see section 1(c)(1) and (2) of Pub. L. 101–429, set out in a note under section 77g of this title.

TRANSFER OF FUNCTIONS

For transfer of functions of Securities and Exchange Commission, with certain exceptions, to Chairman of such Commission, see Reorg. Plan No. 10 of 1950, §§1, 2, eff. May 24, 1950, 15 F.R. 3175, 64 Stat. 1265, set out under section 78d of this title.

FEDERAL RULES OF CIVIL PROCEDURE

Injunctions, see rule 65 and notes of Advisory Committee under the rule, Title 28, Appendix, Judiciary and Judicial Procedure.

Mandamus as abolished but relief yet available by appropriate action or motion under rules, see rule 81 and notes of Advisory Committee under the rule.

CROSS REFERENCES

Actions to enjoin violations, institution of criminal proceedings, and investigation of facts by Commission under—
- Investment Advisers Act of 1940, see section 80b–9 of this title.
- Investment Company Act of 1940, see section 80a–41 of this title.
- Public Utility Holding Company Act of 1935, see section 79r of this title.
- Securities Exchange Act of 1934, see section 78u of this title.

Investigations and hearings under Trust Indenture Act of 1939, see section 77uuu of this title.

Issuance of mandamus under—
- Public Utility Holding Company Act of 1935, see section 79r of this title.
- Securities Exchange Act of 1934, see section 78u of this title.

Rules and regulations, authority of Commission to make, amend, and rescind, see section 77s of this title.

Venue of criminal proceedings under—
- Investment Advisers Act of 1940, see section 80b–14 of this title.
- Investment Company Act of 1940, see section 80a–43 of this title.
- Public Utility Holding Company Act of 1935, see section 79y of this title.
- Securities Exchange Act of 1934, see section 78aa of this title.

SECTION REFERRED TO IN OTHER SECTIONS

This section is referred to in section 77uuu of this title.

§ 77u. Hearings by Commission

All hearings shall be public and may be held before the Commission or an officer or officers of the Commission designated by it, and appropriate records thereof shall be kept.

(May 27, 1933, ch. 38, title I, § 21, 48 Stat. 86.)

TRANSFER OF FUNCTIONS

For transfer of functions of Securities and Exchange Commission, with certain exceptions, to Chairman of such Commission, see Reorg. Plan No. 10 of 1950, §§ 1, 2, eff. May 24, 1950, 15 F.R. 3175, 64 Stat. 1265, set out under section 78d of this title.

CROSS REFERENCES

Hearings by Commission under—
- Investment Advisers Act of 1940, see section 80b–12 of this title.
- Investment Company Act of 1940, see section 80a–40 of this title.
- Public Utility Holding Company Act of 1935, see section 79s of this title.
- Securities Exchange Act of 1934, see section 78v of this title.
- Trust Indenture Act of 1939, see section 77ttt of this title.

§ 77v. Jurisdiction of offenses and suits

(a) Federal and State courts; venue; service of process; review; removal; costs

The district courts of the United States and the United States courts of any Territory shall have jurisdiction of offenses and violations under this subchapter and under the rules and regulations promulgated by the Commission in respect thereto, and, concurrent with State and Territorial courts, of all suits in equity and actions at law brought to enforce any liability or duty created by this subchapter. Any such suit or action may be brought in the district wherein the defendant is found or is an inhabitant or transacts business, or in the district where the offer or sale took place, if the defendant participated therein, and process in such cases may be served in any other district of which the defendant is an inhabitant or wherever the defendant may be found. Judgments and decrees so rendered shall be subject to review as provided in sections 1254, 1291, 1292, and 1294 of title 28. No case arising under this subchapter and brought in any State court of competent jurisdiction shall be removed to any court of the United States. No costs shall be assessed for or against the Commission in any proceeding under this subchapter brought by or against it in the Supreme Court or such other courts.

(b) Contumacy or refusal to obey subpena; contempt

In case of contumacy or refusal to obey a subpena issued to any person, any of the said United States courts, within the jurisdiction of which said person guilty of contumacy or refusal to obey is found or resides, upon application by the Commission may issue to such person an order requiring such person to appear before the Commission, or one of its examiners designated by it, there to produce documentary evidence if so ordered, or there to give evidence touching the matter in question; and any failure to obey such order of the court may be punished by said court as a contempt thereof.

(May 27, 1933, ch. 38, title I, § 22, 48 Stat. 86; June 25, 1936, ch. 804, 49 Stat. 1921; June 25, 1948, ch. 646, § 32(b), 62 Stat. 991; May 24, 1949, ch. 139, § 127, 63 Stat. 107; Aug. 10, 1954, ch. 667, title I, § 11, 68 Stat. 686; Oct. 15, 1970, Pub. L. 91–452, title II, § 213, 84 Stat. 929; Dec. 4, 1987, Pub. L. 100–181, title II, § 209, 101 Stat. 1253.)

CODIFICATION

As originally enacted subsec. (a) contained references to the Supreme Court of the District of Columbia. Act June 25, 1936, substituted ''the district court of the United States for the District of Columbia'' for ''the Supreme Court of the District of Columbia'', and act June 25, 1948, as amended by act May 24, 1949, substituted ''United States District Court for the District of Columbia'' for ''district court of the United States for the District of Columbia''. Pub. L. 100–181 struck out reference to the United States District Court for the District of Columbia. Previously, such reference had been editorially eliminated as superfluous in view of section 132(a) of Title 28, Judiciary and Judicial Procedure, which provides that ''There shall be in each judicial district a district court which shall be a court of record known as the United States District Court for the district'', and section 88 of Title 28 which provides that ''the District of Columbia constitutes one judicial district''.

AMENDMENTS

1987—Subsec. (a). Pub. L. 100–181 substituted ''United States and'' for ''United States, the'', struck out '', and the United States District Court for the District of Columbia'' after ''Territory'', and substituted ''sections 1254, 1291, 1292, and 1294 of title 28'' for ''sections 128 and 240 of the Judicial Code, as amended (U.S.C., title 28, secs. 225 and 347)''. See Codification note above.

1970—Subsec. (c). Pub. L. 91–452 struck out subsec. (c) which related to immunity from prosecution of any individual compelled to testify or produce evidence, documentary or otherwise, after claiming his privilege against self-incrimination.